

Specimen termsheet — OTC accumulator

Derivatives 101 teaching document. Generic issuer, illustrative levels, no live trade. Real tickers are used only as familiar reference instruments.

INDICATIVE TERMSHEET

12-Month Knock-Out Daily Accumulator on Apple Inc

No SSPA / EUSIPA classification ¹

Over-the-counter bilateral contract · Not a security · No ISIN or security number · Not listed and not transferable

Product description

A leveraged knock-out daily accumulator obliges the client to buy a specified number of Reference Underlyings on each Scheduled Trading Day at a pre-determined Forward Price over an Observation Period, subject to early termination. If the Closing Price is at or above the Knock-Out Price on any Scheduled Trading Day, the accumulator terminates. During a Guaranteed Observation Period the purchase is guaranteed for the whole period regardless of a knock-out.

Product details (indicative terms)

Counterparty	[Issuing bank]	Guaranteed Observation Period(s) ⁴	2
Reference Underlying	AAPL UW	Max. Scheduled Trading Days	250
Reference Spot	USD 320.00 (100%)	Underlyings per Day	10
Forward Price ²	USD 288.00 (90%)	Leverage ⁵	2
Knock-Out Price ³	USD 336.00 (105%)	Underlyings per Day (levered)	20
Settlement Frequency	Monthly	Max. Total No. of Underlyings	5,000
Number of Observation Periods	12		
Max. Exposure ⁶ USD 1,440,000.00 = 5,000 × USD 288.00			
Trade Date	15 January 2027 — for Knock-Out observation, the first period start date equals the Trade Date		
First Period Start Date	18 January 2027		
Final Expiry Date	14 January 2028		
Final Settlement Date	18 January 2028		

Scenario on each Scheduled Trading Day

Closing Price at or above the Forward Price	The client buys 10 Reference Underlyings at the Forward Price.
Closing Price below the Forward Price	The client buys 20 Reference Underlyings (levered) at the Forward Price.
Closing Price at or above the Knock-Out Price	A Knock-Out Event occurs and the accumulator terminates. During a Guaranteed Observation Period the client continues to buy 10 Reference Underlyings per day for the remainder of that period and any subsequent Guaranteed Observation Period.

Maximum potential risk and gain

What to look at, and why

- No classification code and no security number.** This is a bilateral contract, not a security. It sits outside the product map entirely, which is why nothing here looks like the note termsheets.
- Forward Price, not strike.** Same idea, different word. The discount to Reference Spot is the headline the client will remember.
- Knock-Out is observed from the Trade Date,** before the first period even starts. A trade can knock out on day one.
- The guarantee is expressed in periods, not days.** Two Guaranteed Observation Periods means two whole months accumulate whatever the price does — a knock-out on day three still delivers roughly forty days of stock.
- Leverage is a multiplier on the bad side only.** Ten units a day when the client is right, twenty when they are wrong.
- Max. Exposure is the real size of the trade.** Not the margin, not the daily size. This is the number to quote when anyone asks how big the position is.
- Margin is discretionary and can be raised at any time.** Most clients who lose money on these are closed out by a margin call, not by holding to expiry.
- The bank is the Calculation Agent** and determines adjustments in its sole discretion. There is no exchange and no independent price.
- Not transferable, no secondary market.** An early unwind happens only if the bank agrees, at the bank's price.
- The settlement schedule is a table, not a formula.** Trading-day counts differ every month, so accrual and delivery quantities have to be driven off the calendar.

Maximum potential risk	The client is committed to buy up to the Max. Total No. of Underlyings at the Forward Price. If the market price falls well below that level the loss is substantial, and is capped only by the underlying reaching zero.
Maximum potential gain	Capped by the Knock-Out feature. There may be limited upside gain if and when a Knock-Out Event occurs.
Margin requirement ⁷	Sufficient collateral to absorb mark-to-market losses at all times. The bank may require more, at its discretion, at any time.
Calculation Agent ⁸	The bank, acting in its sole and absolute discretion for all determinations and adjustments.
Liquidity ⁹	Not listed, no secondary market. Early unwind is subject to the bank's agreement and its price.

The schedule. ¹⁰ The full document carries a table of twelve observation periods with a period start date, period end date, settlement date and number of Scheduled Trading Days for each. The day counts vary between eighteen and twenty-three, so nothing about the accumulation can be derived from a formula alone.

Specimen prepared for training. Levels are illustrative and rounded; no issuer or live pricing is represented. Not an offer and not advice.